CH 4 - Labour Market

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Unemployment rate is obtained monthly from Labour Force Survey

Civilian working population:

- 15 years old and older
- excludes people are living on reserves or settlements
- excludes people in prison and long-term care facilities
- exludes Canadian Armed Forces

> 📘 **Definition — Employment**
>
> A person is **employed** if, during the reference week:
>
> - did any paid work including self-employment
> - had a job but was temporarily absent because of illness, vacation, a labour dispute, or another recognized reason
>
> A person without work is **unemployed** if the are available for work and meet at least one of the three:
>
> - **actively** searched for work in the previous four weeks
> - is temporary layoff and expects to return
> - has a job schedule to begin within four weeks
>
> A person is **not in labour force** when they are neither employed nor unemployed
>
> - retirees, many full-time student, and unpaid caregivers
> - people unable or choosing not to work
> - people who want a job but are not currently searching

Discouraged searchers: want towk and are available, but have stoppped searching becasue they believe suitable work is unavailable. Included in R8.

> 📘 **Definition — Rates**
>
> Unemployment rate $\text{UR} = \frac{U}{\text{LF}} \cdot 100$ is R4 from published StatCan data
>
> Employment Rate $\text{ER} = \frac{E}{\text{CIVPop}} \cdot 100$
>
> Larbour Force Particiaption Rate $\text{LFPR} = \frac{\text{LF}}{\text{CIVPop}} \cdot 100$
>
> U is the number of unemployed, LF is the labour force, E is the number of employed people

CIVPop is the civilian, non-instutitional population ageed 15+

Seasonal adjustment removes these recurring patterns, making changes in underlying labour-market conditions easier to see.

Unemployment duration is the length of a person's current unempoyment spell when surveyed.

- StatCan defines **long-term unemployment** as 27 weeks+, it can rise because workers are leaving unemployment more slowly, not because more workers are entering it.
- Long spells bring larger income losses and may make re-employment more diffcult

Note: the unemployment rate along does not tell how quickly workers enter and leave unemployment.

Definition — Types of Unemployment

Type	Source	Example
Frictional	normal search and matching	worker switch between jobs
Structural	mismatch of skills, location, or industry	a displaced worker whose former industry has permanently contracted
Cyclical	weak aggreate demand	layoffs during recession

Natural rate of employment(full-employment) has correlation with frictional unemployment which will never be 0

Job vacancy is an unfilled position that an employer is actively seeking. to fill.

Beveridge curve represents the relationship vaccancies and unemployment.

Job vacancy	Unemployment	Economy
High	Low	Shortage of workers
High	High	Mismatch of jobs and workers
Low	High	Shortagte of jobs

Prime-age workers are aged 25-54.

OECD harmonised employment rate applies common definitions to improve comparisons across countries

Example midterm questions:

The labour force participate rate is 80%, the unemployment rate is 5%, and the working-age population is 25000. How many employed?

We get labour force be $25000 * 0.8$

Then we have $0.95 * (25000 * 0.8) = 19000$ is the total employed workers

A country has 18000 employed people, an UR = 10%, working-age population is 25000. What is LB-participation rate?

$0.9LB = 18000 \rightarrow LB = 20000$

$\frac{20000}{25000}$ is the participation rate.